

■ Combining the Strategies

Trend Filter

The moving average strategy's biggest problem is that it is always in the market, even if there is really no trend at the moment. When there is a sideways movement in the market, this strategy tends to enter and exit time after time, losing on each turn. This is not only unprofitable, but also highly annoying, demoralising, and it makes little sense. Figure 4.6 shows this behaviour during a sideways phase of the mid-2000 in the S&P 500. Each time those two moving average lines cross each other, we reverse our position, and we keep losing money. What is missing here is some sort of trend filter to make sure that the strategy does not buy or sell when there is no trend available to profit from.

The breakout strategy does not have exactly the same problem, because it is not always in the market and only enters after a price breakout, but it does suffer from a similar symptom. Since the breakout will enter a long trade after seeing the highest price in a certain number of days and enter a short trade when a new low for the same number of days is made, it has a tendency to go against the main market trend at times. If there has been a very strong market trend for a while, it is not unusual to see a bit of a pullback. Such a pullback may for some strategies be a good place to take the profits and exit, but it is rarely a good point to enter a reverse position.

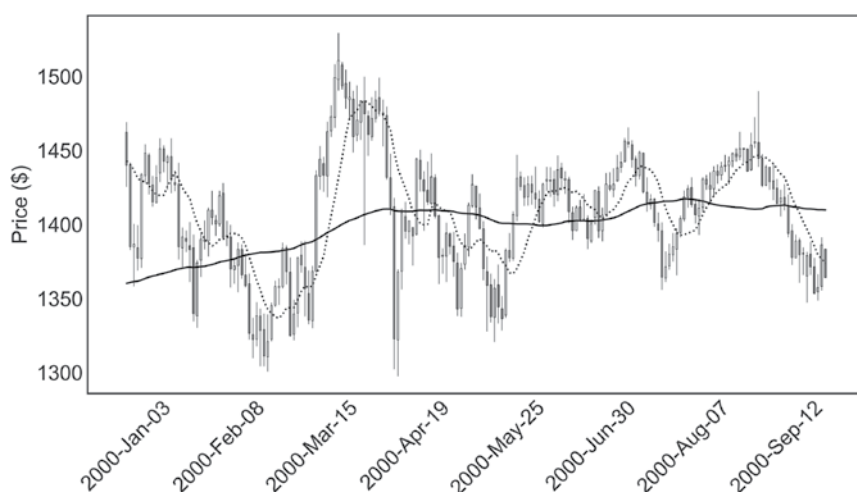


FIGURE 4.6 Moving average strategy overtrading without trend filter.